BEYOND THE AI NARRATIVE

Are Organizations Ready for AI-Led Workforce Transformation?

White Paper

An Internal Audit Perspective on AI Governance, Stakeholder Impact and Organizational Resilience

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Artificial intelligence is reshaping the way organizations operate, make decisions, and manage their workforce. While much of the public discussion focuses on technological innovation and productivity gains, successful AI adoption also requires effective governance, accountability, risk management, and stakeholder oversight.

This white paper examines the governance challenges that may emerge when organizations pursue AI-led workforce transformation and highlights the important role of leadership, risk management, and Internal Audit in supporting responsible adoption.

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1. Executive Summary

Artificial Intelligence (AI) is changing the way organizations operate. Companies across many industries are investing in AI to improve efficiency, reduce costs, support decision-making, and strengthen customer service. At the same time, many organizations are redesigning their workforce and operating models as part of their AI transformation journey.

While AI creates many opportunities, it also introduces new risks and challenges. Many organizations focus on the benefits of AI, such as automation and productivity improvements, but less attention is sometimes given to whether the organization is truly ready to manage AI in a safe and responsible way.

This white paper explores an important question:

Are organizations moving faster in AI transformation than their governance and risk management capabilities can support?

The paper argues that successful AI transformation is not only about adopting new technology. Organizations also need strong governance, clear accountability, effective risk management, human oversight, good data practices, and the retention of important business knowledge.

When workforce transformation happens before these foundations are in place, organizations may face several risks. These risks can include operational disruption, loss of critical knowledge, over-reliance on technology, customer harm, regulatory concerns, reputational damage, and reduced organizational resilience.

The paper also examines the impact of AI transformation on different stakeholder groups, including employees, customers, investors, regulators, boards, and executive management. As AI becomes more widely used, expectations around transparency, accountability, and responsible use of AI continue to increase.

To support the discussion, the paper reviews four publicly reported case studies covering AI adoption, workforce restructuring, AI accountability, and regulatory enforcement. These case studies show that the success of AI transformation should not be measured only by cost savings or productivity gains. Organizations should also consider governance effectiveness, customer outcomes, operational resilience, and long-term sustainability.

From an Internal Audit perspective, the paper highlights the important role that Internal Audit can play in providing independent assurance over AI transformation programs. Internal Audit can help organizations assess whether governance structures, controls, and risk management practices are keeping pace with AI-related changes.

The paper recommends that organizations conduct AI readiness assessments before making significant workforce changes. It also recommends establishing formal AI governance frameworks, strengthening third-party AI oversight, protecting institutional knowledge, and continuously monitoring stakeholder outcomes throughout the transformation process.

The paper provides practical recommendations to help organizations align AI transformation initiatives with governance maturity, operational resilience, and stakeholder accountability. It emphasizes that AI adoption should be supported by effective oversight throughout the transformation journey.

AI transformation is not inherently risky. However, organizations that reduce workforce dependency before establishing appropriate governance and oversight may create risks that outweigh the expected benefits. Long-term success will depend not only on technology, but also on an organization's ability to govern AI responsibly and sustainably.

2. Introduction: Beyond the AI Narrative

Artificial Intelligence (AI) has become one of the most significant technology developments of recent years. Organizations across industries are investing heavily in AI to improve efficiency, support decision-making, enhance customer experiences, and create new business opportunities.

According to the Stanford AI Index 2025, 78% of surveyed organizations reported using AI in at least one business function in 2024, compared to 55% in the previous year.[1] At the same time, the International Monetary Fund (IMF) estimates that AI could affect approximately 40% of jobs globally and up to 60% of jobs in advanced economies.[2]

As AI adoption continues to grow, many organizations are using AI to automate routine activities, redesign business processes, and reduce dependence on manual work. In some cases, AI initiatives are also being accompanied by workforce restructuring and changes to operating models.

Much of the public discussion around AI focuses on technological innovation, productivity gains, and future business opportunities. While these benefits may be significant, less attention is often given to the governance, risk management, and organizational challenges that may emerge during AI-led transformation.

The issue is not whether organizations are adopting AI. The more important question is whether governance, accountability, risk management, and organizational readiness are keeping pace with the speed of AI transformation.

This paper explores AI-led workforce transformation through a governance, risk, and Internal Audit perspective. It examines the potential risks affecting employees, customers, investors, regulators, and organizations, and discusses how effective governance and oversight can help support responsible AI adoption.

Footnotes

[1] Stanford Institute for Human-Centered Artificial Intelligence (HAI), *AI Index Report 2025*.

[2] International Monetary Fund (IMF), *Gen-AI: Artificial Intelligence and the Future of Work*, 2024.

3. AI Transformation and Workforce Restructuring

AI is changing the way organizations work. Many companies are investing in AI to improve efficiency, reduce costs, automate work, and support better decision-making.

Over the past few years, AI has become a key part of many business transformation initiatives. Senior management and boards are paying more attention to AI because they see it as an opportunity to improve productivity and remain competitive. According to the World Economic Forum (WEF), AI and big data are among the fastest-growing skill areas globally, and many organizations expect AI-related technologies to significantly transform their businesses over the coming years.[1]

At the same time, many organizations are reviewing their workforce and operating models. Some are redesigning business processes. Some are reducing manual work. Others are changing team structures and job responsibilities. In some cases, workforce reductions have happened together with AI and technology transformation initiatives.

From a business point of view, these decisions may make sense. Organizations are under pressure to control costs, improve efficiency, and deliver better results. AI can help employees complete certain tasks faster and process larger amounts of information. Recent research by PwC suggests that industries with greater AI adoption have experienced higher productivity growth and increasing demand for AI-related skills.[2]

Today, AI can be used for many activities such as:

- Summarizing reports
- Drafting documents
- Reviewing contracts
- Analyzing data
- Supporting customer service
- Identifying unusual transactions
- Assisting with research

As AI continues to improve, some organizations believe that fewer employees may be needed in certain areas. This has led to discussions about how AI may change the future workforce.

However, workforce transformation is not only about reducing the number of employees.

Employees carry valuable knowledge about business operations, systems, controls, customers, products, and risks. Many experienced employees have built this knowledge over many years. In many cases, not all of this knowledge is documented.

When experienced employees leave an organization, some knowledge may leave with them.

This creates an important question.

Can AI replace work, or can AI replace experience and judgment?

AI can help complete certain tasks. However, experience and professional judgment are often developed over many years.

For example, an experienced Internal Auditor may identify a control weakness because they have seen similar issues before. A Risk Manager may recognize a potential problem based on previous incidents. A Compliance Officer may identify a concern because they understand the practical impact of a regulation.

These are examples of human judgment that may not be easy to replace.

Another issue is that AI systems are not perfect. AI can make mistakes. It can generate incorrect information, incomplete answers, or results that do not make sense. If employees depend too much on AI without proper review, errors may go unnoticed.

Organizations should also consider the impact on employees during workforce transformation. Employees may feel uncertain about their future roles. Some may need to learn new skills. Others may need training to work effectively with AI tools. The WEF estimates that nearly 40% of skills currently required for work may change over the next few years, highlighting the importance of reskilling and workforce development.[3]

Because of this, organizations should think carefully before making major workforce changes based on expected AI benefits.

Some important questions include:

• Is the AI technology mature enough for the intended use?
• What work still requires human judgment?
• What knowledge could be lost if experienced employees leave?
• What controls are in place to review AI outputs?
• How will employees be trained to use AI responsibly?
• How will management measure whether the transformation is successful?

These questions are important because AI benefits are often based on expectations about the future. In reality, some AI projects may take longer than expected to deliver results. Some may not achieve the expected benefits at all.

This does not mean organizations should avoid AI. AI can create significant value and help organizations improve efficiency and productivity.

However, workforce decisions should be supported by careful planning, realistic expectations, and effective risk management.

Organizations that balance technology, people, governance, and risk management are more likely to achieve long-term success. Organizations that move too quickly may create new risks that were not fully considered at the start of the transformation journey.

For this reason, AI-driven workforce transformation should not be viewed only as a technology initiative. It should also be viewed as a governance, risk management, and organizational resilience issue.

Footnotes

[1] World Economic Forum (WEF), *Future of Jobs Report 2025*.

[2] PwC, *Global AI Jobs Barometer 2025*.

[3] World Economic Forum (WEF), *Future of Jobs Report 2025*.

4. The AI Governance Maturity Gap

Many organizations are investing heavily in AI. New AI projects are being launched. AI tools are being introduced into business processes. Employees are being encouraged to use AI in their daily work.

This shows that AI adoption is increasing.

However, adopting AI and managing AI are not the same thing.

An organization may be using AI in many areas, but this does not automatically mean that it has the right governance, controls, and oversight in place.

This is what I refer to as the AI Governance Maturity Gap.

The AI Governance Maturity Gap exists when AI adoption grows faster than an organization's ability to manage the risks that come with it. In simple terms, organizations may move quickly to adopt AI but more slowly in developing the governance needed to support it.

For example, management may approve the use of AI tools without fully understanding:

• How the AI works
• What data is being used
• How accurate the results are
• What risks may exist
• Who is responsible if something goes wrong

These questions become more important as organizations become more dependent on AI.

Many organizations have governance frameworks for areas such as finance, cybersecurity, compliance, and operational risk. However, AI is still relatively new for many organizations.

As a result, governance practices may still be developing. Industry frameworks and standards increasingly emphasize the need for organizations to establish appropriate governance, accountability, risk management, and oversight mechanisms for AI systems.[1,2,3]

Some common questions include:

• Who owns AI risk?
• Who approves the use of AI systems?
• How often should AI models be reviewed?
• How should AI errors be reported?
• How should AI-related incidents be investigated?
• How should third-party AI providers be monitored?

In some organizations, clear answers to these questions may not yet exist.

Another challenge is that AI systems can change over time. Unlike traditional systems that follow predefined rules, AI systems may behave differently because of changes in data, model updates, or user behavior. As a result, organizations cannot assume that AI will always perform as expected, making regular monitoring important.

Organizations should understand whether AI outputs remain accurate, reliable, and appropriate for business use.

Data quality is another important area.

AI systems depend heavily on data. If the data is incomplete, inaccurate, outdated, or biased, the results produced by AI may also be unreliable.

This creates risks for decision-making.

For example, if management relies on inaccurate AI outputs, business decisions may be based on incorrect information.

Third-party risk is also becoming more important. Many organizations rely on technology vendors, cloud providers, software companies, and external AI platforms rather than building their own AI systems. As a result, they may depend on systems that they do not fully control.

This creates questions such as:

• How is customer data protected?
• How is information stored?
• What happens if the vendor experiences a security incident?
• How does the organization know the AI system is reliable?

These risks should be understood before organizations become too dependent on external AI solutions.

In mid-2026, a technology industry leader spoke publicly about this problem.

He said that companies who depend too much on outside AI providers may lose control of their own data.[4]

This shows why data protection and vendor oversight should be planned from the start, not added later.

Another important issue is accountability.

If an AI system makes a mistake, who is responsible?

Is it the employee using the system?

Is it management?

Is it the technology vendor?

Is it the AI model itself?

In practice, organizations remain responsible for the decisions made within their business operations, even when AI is involved.

For this reason, human oversight remains important.

AI can support decision-making, but accountability should remain with people.

From an Internal Audit perspective, the key question is not whether AI is being used.

The more important question is whether the organization has the governance, controls, oversight, and risk management processes needed to use AI responsibly.

Organizations do not need to delay AI adoption until every risk is removed. That would not be realistic.

However, organizations should ensure that governance develops alongside AI adoption.

If AI adoption moves much faster than governance maturity, the organization may face risks that were not fully understood when the technology was introduced.

For this reason, organizations should regularly assess their AI governance maturity and identify areas where governance, controls, and oversight need to be strengthened.

AI can create significant opportunities. However, long-term success will depend not only on the technology itself, but also on how well the organization manages the risks that come with it.

Footnotes

[1] National Institute of Standards and Technology (NIST), *AI Risk Management Framework (AI RMF 1.0)*, 2023.

[2] International Organization for Standardization (ISO) and International Electrotechnical Commission (IEC), *ISO/IEC 42001:2023 Artificial Intelligence Management Systems*.

[3] Organisation for Economic Co-operation and Development (OECD), *OECD AI Principles*, 2019 (updated 2024).

[4] Publicly reported commentary from a technology industry executive on AI vendor dependency, data control, and third-party risk. CNBC, July 2026.

5. Stakeholder Risk Analysis

AI transformation can create many benefits for organizations. It can improve efficiency, reduce manual work, support decision-making, and help organizations remain competitive.

However, every transformation program also creates risks.

When organizations increase their use of AI, the impact is not limited to technology systems. AI transformation can affect many different groups of people, both inside and outside the organization.

For this reason, organizations should consider how AI-related decisions may affect different stakeholders.

Employees

Employees are often the first group affected by AI transformation.

As organizations introduce more automation and AI tools, some job roles may change. Certain tasks may no longer be performed in the same way. Employees may need to learn new skills or take on new responsibilities.

In some situations, organizations may reduce headcount as part of broader transformation programs.

These changes can create uncertainty for employees. Some employees may worry about job security, while others may be concerned about whether they have the skills needed for future roles. According to the World Economic Forum, workforce transformation and reskilling are expected to become increasingly important as AI adoption continues to grow.[1]

Organizations should also consider the loss of knowledge when experienced employees leave. Many employees have valuable knowledge about business processes, systems, controls, customers, and risks. If this knowledge is not transferred properly, the organization may face challenges in the future.

Customers

Customers can also be affected by AI transformation.

Many organizations are using AI to support customer service, claims processing, fraud detection, underwriting, lending decisions, and other customer-related activities.

If AI systems work as expected, customers may receive faster and more efficient service.

However, problems may arise if AI systems make mistakes, provide incorrect information, or produce unfair outcomes.

Customers may not always understand how AI decisions are made. This can create concerns about fairness, transparency, and accountability. These principles are increasingly emphasized in international AI governance guidance.[2]

Organizations should ensure that customer interests remain an important consideration during AI transformation programs.

Investors and Shareholders

Investors and shareholders are interested in how AI investments contribute to business performance.

Many organizations publicly discuss their AI strategies and expected benefits. Investors may view AI as an opportunity for future growth and improved profitability.

However, investors also face risks if AI projects fail to deliver expected results.

There is also a risk that organizations may create unrealistic expectations about what AI can achieve.

If actual results are significantly different from expectations, investor confidence may be affected.

For this reason, organizations should communicate AI-related plans and achievements in a clear and balanced way.

Regulators

Regulators are paying increasing attention to AI.

Many regulators support innovation and recognize the benefits that AI can bring. At the same time, regulators also expect organizations to manage risks appropriately.

Areas such as customer protection, data privacy, cybersecurity, operational resilience, accountability, and governance are becoming more important in discussions about AI.

Organizations that fail to manage AI-related risks may face regulatory scrutiny, enforcement actions, financial penalties, or reputational damage.

As AI adoption increases, regulatory expectations are likely to continue growing.[3]

Boards and Senior Management

Boards and senior management play an important role in overseeing AI transformation.

They are responsible for setting strategy, approving major investments, and ensuring that risks are managed appropriately.

As organizations become more dependent on AI, boards and management should understand both the benefits and risks of AI adoption.

Important questions include:

• Does the organization have appropriate AI governance?
• Are AI-related risks being monitored?
• Is management receiving reliable information about AI performance?
• Are workforce changes being managed responsibly?
• Are customer interests being protected?

Strong oversight can help organizations address issues before they become larger problems.

The Organization

Ultimately, the organization itself is also a stakeholder.

If AI transformation is successful, the organization may benefit from improved efficiency, better decision-making, stronger customer service, and increased competitiveness.

However, if governance and risk management do not keep pace with AI adoption, the organization may face operational problems, reputational damage, regulatory concerns, customer complaints, or financial losses.

For this reason, organizations should view AI transformation as more than a technology project.

AI transformation affects employees, customers, investors, regulators, boards, and the organization as a whole.

A successful AI transformation program should consider the interests of all stakeholders and not focus only on cost savings or productivity improvements.

Organizations that take a balanced approach are more likely to achieve sustainable results and maintain the trust of employees, customers, investors, regulators, and other stakeholders.

Footnotes

[1] World Economic Forum (WEF), *Future of Jobs Report 2025*.

[2] Organisation for Economic Co-operation and Development (OECD), *OECD AI Principles*, 2019 (updated 2024).

[3] National Institute of Standards and Technology (NIST), *AI Risk Management Framework (AI RMF 1.0)*, 2023.

6. Case Studies: Governance Lessons from AI Transformation

Case Study 1: Leading European Fintech and Payments Provider

Background

A leading European fintech and payments provider attracted significant attention for its use of artificial intelligence across different business functions. The organization publicly stated that AI tools were helping employees work more efficiently and perform certain tasks faster than before.[1]

At the same time, the company reduced its workforce as part of a broader transformation strategy. Management indicated that improvements in AI capabilities were changing how work could be performed and how resources could be allocated within the organization.[1]

The case received widespread media attention because it appeared to demonstrate how AI could influence workforce planning and business operations.[1]

Governance and Risk Considerations

From a governance and risk management perspective, the case raises several important questions.

First, how should organizations measure the success of AI transformation? Productivity improvements and cost savings are important, but they may not provide a complete picture. Organizations should also consider customer outcomes, service quality, operational resilience, and long-term sustainability.

Second, workforce restructuring may result in the loss of valuable institutional knowledge. Experienced employees often possess knowledge that is not fully documented in policies, procedures, or systems. When this knowledge leaves the organization, the impact may not be immediately visible.

Third, organizations should carefully assess whether AI systems are sufficiently reliable before making significant workforce decisions. While AI can perform many tasks effectively, human judgment, experience, and oversight remain important in many business activities.

Finally, organizations should consider the impact of transformation decisions on employees, customers, investors, and regulators. Different stakeholder groups may experience the benefits and risks of AI transformation in different ways.

Key Governance Lesson

This case illustrates that AI transformation should not be evaluated only through productivity gains or workforce reductions.

Organizations should adopt a broader view that considers governance, risk management, operational resilience, customer outcomes, and stakeholder impact. AI may create significant opportunities for efficiency and innovation, but sustainable success requires strong governance and responsible decision-making.

The key question is not whether AI can improve productivity. The more important question is whether the organization is prepared to manage the risks and responsibilities that come with increased reliance on AI.

Case Study 2: Major North American Airline

Background

A major North American airline faced public criticism after a customer received incorrect information from an AI-powered chatbot on the company's website.[2]

The chatbot provided information about a fare policy that was not consistent with the airline's actual policy. The customer relied on the information provided by the chatbot and later sought compensation from the airline.[2]

The case attracted significant attention because it raised an important question about accountability when AI systems interact directly with customers.[2]

Although the incorrect information was generated by the chatbot, the organization remained responsible for the information provided through its own platform.[2]

Governance and Risk Considerations

From a governance perspective, this case highlights the risks of relying on AI systems without sufficient oversight and controls.

Many organizations are introducing AI-powered tools to improve customer service and reduce response times. While these tools can provide benefits, they may also generate inaccurate or misleading information.

Organizations should therefore consider how AI-generated information is reviewed, monitored, and updated. Clear processes should exist to identify errors, investigate incidents, and take corrective action when problems are discovered.

The case also raises questions about accountability. If an AI system provides incorrect information, who is responsible? Customers generally do not distinguish between information provided by an employee and information provided by an AI system. From the customer's perspective, both represent the organization.

For this reason, organizations cannot transfer responsibility to the technology itself. Accountability remains with management, regardless of whether a decision or response involves AI.

Key Governance Lesson

This case demonstrates that the use of AI does not remove organizational accountability.

AI systems may support customer interactions, but organizations remain responsible for the accuracy, fairness, and reliability of the information provided to customers.

Strong governance requires clear ownership, effective oversight, ongoing monitoring, and timely correction of AI-related issues.

The key lesson is simple. AI may generate the response, but the organization remains accountable for the outcome.

Case Study 3: Investment Advisory Firms and SEC AI-Washing Enforcement

Background

In 2024, the U.S. Securities and Exchange Commission (SEC) took enforcement action against several investment advisory firms for making misleading statements about their use of artificial intelligence.[3]

According to the SEC, some firms claimed that AI was being used in ways that were not fully supported by their actual business practices.[3]

The case received significant attention because it highlighted the growing risk of organizations overstating their AI capabilities.

As AI became an important business topic, some organizations appeared eager to present themselves as AI-driven businesses. However, regulators made it clear that AI-related claims must be accurate and supported by evidence.[3]

Governance and Risk Considerations

From a governance perspective, this case highlights the importance of transparency and accountability.

Organizations may face pressure to demonstrate progress in AI adoption. However, claims about AI capabilities should be supported by appropriate evidence, documentation, and oversight.

If stakeholders receive inaccurate or misleading information, trust may be damaged and regulatory concerns may arise.

Organizations should ensure that public statements about AI are consistent with how AI is actually being used within the business.

Key Governance Lesson

This case demonstrates that AI governance is not only about managing technology risks. It is also about ensuring that AI-related claims are accurate and supported by evidence.

Organizations should avoid overstating what their AI systems can do and should communicate AI capabilities in a clear and transparent manner.

The key lesson is simple: organizations should govern not only how AI is used, but also how AI is described.

Case Study 4: Global Fintech Platform

Background

A global fintech platform announced a major business transformation program focused on technology modernization, digital capabilities, and artificial intelligence.

As part of its transformation strategy, the organization invested in technology and AI-related initiatives while also carrying out workforce restructuring across different business functions and locations. Public statements indicated that the transformation was intended to improve efficiency, simplify operations, and support future growth.

This type of transformation is not unique to one organization. Across many industries, companies are investing in AI and digital technologies while reviewing their operating models and workforce structures.

As organizations increase their use of AI, an important governance question arises: Are governance and risk management capabilities developing at the same pace as technological change?

Governance and Risk Considerations

From a governance perspective, large-scale transformation programs require more than technology investment.

Recognized frameworks such as the NIST AI Risk Management Framework and ISO/IEC 42001 emphasize the importance of governance, accountability, oversight, monitoring, and risk management throughout the AI lifecycle.[4,5]

At the same time, operational resilience guidance issued by regulators highlights the importance of maintaining critical business services during periods of significant organizational change.[6]

These principles suggest that organizations should not focus only on the benefits of AI adoption. They should also consider how risks will be identified, assessed, monitored, and managed throughout the transformation process.

Organizations should also ensure that roles, responsibilities, and accountability for AI-related decisions are clearly defined. As the use of AI increases, effective oversight becomes increasingly important.

Transformation programs may also create expectations among different stakeholder groups. Employees, customers, investors, regulators, and business partners may all be affected by changes in technology, processes, and operating models. Governance frameworks therefore emphasize the importance of considering stakeholder impact when making significant business decisions.

Key Governance Lesson

This case illustrates that AI transformation should not be viewed only as a technology initiative or an efficiency program.

Technology investments may help organizations improve productivity and support future growth. However, governance, risk management, accountability, and operational resilience remain equally important.

Organizations should ensure that governance capabilities develop alongside technological capabilities. As AI becomes more embedded in business operations, strong governance helps organizations manage risks, meet stakeholder expectations, and support sustainable long-term outcomes.

The key lesson is that successful AI transformation requires not only technological readiness, but also governance readiness.

Footnotes

[1] Publicly reported AI adoption, workforce transformation, and restructuring initiatives by a leading European fintech and payments provider, 2023–2025.

[2] Publicly reported legal proceedings involving an AI-powered customer service chatbot and a major North American airline, 2024.

[3] U.S. regulatory enforcement actions relating to misleading AI-related disclosures by investment advisory firms, 2024.

[4] National Institute of Standards and Technology (NIST), *AI Risk Management Framework (AI RMF 1.0)*, 2023.

[5] International Organization for Standardization (ISO) and International Electrotechnical Commission (IEC), *ISO/IEC 42001:2023 Artificial Intelligence Management Systems*.

[6] Financial Conduct Authority (FCA), Prudential Regulation Authority (PRA), and Bank of England (BoE), *Building Operational Resilience*, 2021.

7. Internal Audit Perspective

As organizations continue to adopt AI and implement transformation programs, Internal Audit has an important role to play.

Internal Audit is not responsible for designing AI systems, approving business strategies, or managing day-to-day operations. These responsibilities belong to management.

However, Internal Audit can provide independent assurance on whether governance, risk management, and control processes are operating effectively.[1]

From an Internal Audit perspective, the key question is not whether an organization is using AI. The more important question is whether AI-related risks are being managed in a structured and responsible manner.

This includes areas such as governance, accountability, data management, cybersecurity, third-party risk, regulatory compliance, and operational resilience.

Internal Audit can assess whether appropriate governance structures, policies, responsibilities, and oversight mechanisms are in place for AI-related activities.[2]

Another important area is third-party risk. Many organizations rely on external vendors for AI solutions, cloud services, and technology platforms. Internal Audit can review whether appropriate due diligence, risk assessments, and ongoing oversight processes are operating effectively.

Internal Audit can also provide assurance over transformation programs by reviewing whether key risks, controls, and important business processes continue to operate effectively during periods of change.

The objective is not to slow down innovation or prevent organizations from adopting AI. Instead, the objective is to help organizations achieve their goals while managing risks appropriately.

As AI becomes more integrated into business operations, Internal Audit can provide independent insight, identify emerging risks, and support stronger governance.

While management remains responsible for AI-related decisions, Internal Audit can provide valuable assurance that governance, controls, and risk management processes are keeping pace with organizational change.

Footnotes

[1] The Institute of Internal Auditors (IIA), *International Professional Practices Framework (IPPF)*, 2024.

[2] The Institute of Internal Auditors (IIA), Global Internal Audit Standards, 2024.

8. Practical Recommendations for Responsible AI-Led Transformation

Organizations will continue to invest in AI and digital transformation. While AI can create significant opportunities, organizations should ensure that governance, risk management, and stakeholder considerations develop alongside technological change.[1, 2, 3]

The following recommendations may help organizations pursue AI-led transformation in a more responsible and sustainable manner.

1. Assess AI Readiness Before Major Transformation Decisions

Before implementing significant AI initiatives or workforce changes, organizations should assess whether they are ready to manage the risks associated with increased AI adoption.

This assessment should consider governance structures, accountability, data quality, risk management processes, regulatory requirements, and operational resilience capabilities.

2. Establish Clear Governance and Accountability

Organizations should define clear roles and responsibilities for AI-related decisions.

Management should understand who is responsible for approving AI initiatives, monitoring AI-related risks, responding to incidents, and reporting significant issues to senior leadership and the board.

Clear accountability helps reduce confusion and supports more effective decision-making.

3. Strengthen Risk Management and Oversight

AI-related risks should be identified, assessed, monitored, and reported through existing risk management processes wherever possible.

Organizations should ensure that AI risks receive appropriate oversight and that risk reporting remains transparent and timely.

4. Maintain Effective Third-Party Risk Management

Many organizations rely on external vendors for AI solutions, cloud services, and technology platforms.

Appropriate due diligence, contract management, ongoing monitoring, and periodic reviews can help organizations understand and manage third-party risks.

5. Consider Stakeholder Impact

AI transformation may affect employees, customers, investors, regulators, and business partners in different ways.

Organizations should consider stakeholder impact when making significant transformation decisions and communicate important changes in a clear and transparent manner.

6. Support Independent Assurance

Independent review functions such as Internal Audit can provide valuable assurance over AI governance, risk management, and control effectiveness.

Regular reviews can help identify gaps, strengthen governance practices, and support continuous improvement.

AI transformation should not be viewed only as a technology initiative.

Organizations that combine technological innovation with strong governance, effective risk management, and clear accountability are more likely to achieve sustainable long-term outcomes.

Responsible AI adoption is not only about implementing new technology. It is also about ensuring that governance and oversight keep pace with organizational change.

Footnotes

[1] National Institute of Standards and Technology (NIST), *AI Risk Management Framework (AI RMF 1.0)*, 2023.

[2] International Organization for Standardization (ISO) and International Electrotechnical Commission (IEC), *ISO/IEC 42001:2023 Artificial Intelligence Management Systems*.

[3] Organisation for Economic Co-operation and Development (OECD), *OECD AI Principles*, 2019 (updated 2024).

9. Conclusion

Artificial intelligence is creating new opportunities for organizations across many industries. AI has the potential to improve efficiency, support decision-making, and help organizations transform the way they operate.

At the same time, AI adoption introduces new risks and challenges. As organizations increase their reliance on AI, governance, accountability, risk management, and operational resilience become increasingly important.[1,2,3]

Throughout this paper, several common themes have emerged. AI transformation is not only a technology issue. It is also a governance issue. Decisions relating to AI may affect employees, customers, investors, regulators, and other stakeholders.

The case studies discussed in this paper demonstrate that organizations may face different challenges during AI transformation. These challenges may involve workforce restructuring, accountability for AI-generated outcomes, transparency of AI-related claims, or broader governance and oversight considerations.

From an Internal Audit perspective, the key question is not whether organizations are adopting AI. The more important question is whether governance, risk management, and control processes are developing at the same pace as technological change.

As organizations continue their AI transformation journey, it may be helpful to reflect on three simple questions:

- Are we ready for the change?
- Are we implementing the change with appropriate governance and oversight?
- Are we monitoring outcomes and risks after implementation?

While these questions may appear simple, they remain important throughout the lifecycle of AI adoption and organizational transformation.

Organizations that combine innovation with effective governance, clear accountability, and strong risk management are more likely to achieve sustainable long-term outcomes.

As AI continues to evolve, organizations should focus not only on what AI can do, but also on how AI-related risks and responsibilities will be managed over time.

Ultimately, successful AI transformation requires not only technological readiness, but also governance readiness.

Footnotes

[1] National Institute of Standards and Technology (NIST), *AI Risk Management Framework (AI RMF 1.0)*, 2023.

[2] International Organization for Standardization (ISO) and International Electrotechnical Commission (IEC), *ISO/IEC 42001:2023 Artificial Intelligence Management Systems*.

[3] Organisation for Economic Co-operation and Development (OECD), *OECD AI Principles*, 2019 (updated 2024).

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About the Author

Daniel Foong is an Internal Audit professional with more than 15 years of experience gained across multinational organizations operating in industries including semiconductor manufacturing and electronics supply chains, office and residential furniture manufacturing, downstream oil and gas, hospitality, and insurance.

He began his career in external audit with one of the Big Four before moving into internal audit, where he worked across multiple industries and international business environments. Throughout his career, he has delivered audit engagements across Europe, the Americas, the Middle East, Asia, and Oceania.

Daniel is based in the United Kingdom and believes that continuous learning and adaptability are essential in a rapidly changing business and technology landscape.

This paper reflects the author's personal views and is intended to encourage discussion on AI adoption, workforce transformation, governance, risk management, and the evolving role of Internal Audit.

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